

Lecture 08 (2026-06-14)

Quick Summary

Introduction to the mechanics of the accounting equation for management purposes, focusing on how transactions impact assets, liabilities, and owner's equity, rather than formal auditing rules. Differentiation between the Statement of Profit and Loss (Income Statement) and the Balance Sheet, specifically regarding how "adjustment" items must appear in both.

Key Definitions

- **Accounting Equation:** A method used to track the impact of transactions on assets, capital, and liabilities.
- **COGS (Cost of Goods Sold):** Calculated as: $\text{Opening Stock} + \text{Purchases} - \text{Closing Stock}$.
- **Prepaid Expenses:** Expenses paid in advance (e.g., Prepaid Rent) which are treated as assets.
- **Outstanding Expenses:** Expenses incurred but not yet paid (e.g., Outstanding Salary) which are treated as liabilities.
- **Provision for Bad Debts:** A reserve for potentially uncollectible amounts; increases expense and reduces assets.
- **Suspense Account:** A temporary account used to balance a trial balance when figures do not match.
- **Net Worth:** The value of the company in book value terms (cost price basis), calculated as $\text{Owner's Equity (or Assets minus Liabilities)}$.
- **Discount Received Account:** An account specifically for discounts received from suppliers.
- **Discount Allowed:** An account for discounts given to customers.
- **Maturity Concept:** A specific accounting concept that may be tested in the theory section.
- **IFRS:** International Financial Reporting Standards (to be studied in detail).

Worked Examples

Deposit 80,000 in the bank

- **Step 1:** Identify Asset 1 (Cash) $\rightarrow -80,000$
- **Step 2:** Identify Asset 2 (Bank) $\rightarrow +80,000$
- **Reasoning:** Both Cash and Bank are assets. While the transaction moves value from one asset to another, the total "Asset" side remains balanced (net change of zero).

Draw 20,000 from bank

- **Step 1:** Bank (Asset) $\rightarrow -20,000$
- **Step 2:** Cash (Asset) $\rightarrow +20,000$
- **Reasoning:** Both are assets. The total impact on the asset side is zero.

Purchase goods (e.g., 12,000)

- **Option 1 (Asset approach):** Stock +12,000; Cash -12,000.
- **Option 2 (Expense approach):** Expense +12,000; Cash -12,000.
- **Reasoning:** Option 1 shows the purchase as an increase in stock (asset); this does not impact profitability immediately. Option 2 treats the purchase as a direct expense, impacting profit immediately.

Rent paid

- **Step 1:** Cash $\rightarrow$ Decrease (Asset)
- **Step 2:** Owner's Equity $\rightarrow$ Decrease
- **Reasoning:** Because "Rent" is an expense, it reduces owner's equity. To prevent confusion for the examiner, the entry is recorded directly as a decrease in "Owner's Equity" rather than listing "Expense" and "Cash" separately.

Prepaid Rent (e.g., 5,000 out of 50,000)

- **Step 1:** Reduce the reported expense by 5,000 (e.g., 50,000 - 5,000).
- **Step 2:** Record 5,000 as an Asset.
- **Reasoning:** Since the amount was paid in advance, it is not a "current" expense. It must be removed from the current period's expense and recorded as an asset.

Outstanding Salary (e.g., 10,000)

- **Step 1:** Add to the expense (e.g., Salary +10,000).
- **Step 2:** Record as a Liability.
- **Reasoning:** The expense has occurred but hasn't been paid yet. It must be included in the current period's costs (reducing profit) and shown as a debt (liability).

Depreciation (e.g., 50,000 on a 500,000 asset)

- **Step 1:** Record as an Expense.
- **Step 2:** Reduce the Asset value.
- **Reasoning:** Depreciation is an expense because it represents the portion of the asset's value that was "used" or "consumed" during the period.

Provision for Bad Debts

- **Step 1:** Increase Expense.
- **Step 2:** Reduce Asset.
- **Reasoning:** This accounts for the reduction in the value of the asset (debtors) that may not be collected.

Statement of Profit and Loss (Sample Calculation)

- **Step 1 (Sales):** Use "Sales" (e.g., 12,00,000).
- **Step 2 (COGS):** Calculate as $\text{\$}\{\text{Opening Stock}\} + \text{\$}\{\text{Purchase}\} - \text{\$}\{\text{Closing Stock}\}$. (e.g., $\$1,60,000 + 8,00,000 - 2,00,000 = 7,60,000$).
- **Step 3 (Gross Profit):** $\text{\$}\{\text{Sales}\} - \text{\$}\{\text{COGS}\}$ (e.g., $\$12,00,000 - 7,60,000 = 4,40,000$). *Note: Instructor noted 4,50,000 in specific segment examples).*
- **Step 4 (Operating Expenses):** Sum of Salaries, Rent, Depreciation, and Provision for Bad Debts (e.g., 1,14,000).
- **Step 5 (Net Profit):** $\text{\$}\{\text{Gross Profit}\} - \text{\$}\{\text{Operating Expenses}\}$ (e.g., $\$4,50,000 - 1,14,000 = 3,36,000$).

Balance Sheet (Sample Calculation)

- **Step 1 (Capital):** Start with initial Capital (e.g., 5,00,000).
- **Step 2 (Net Profit):** Add Net Profit from P&L (e.g., $\$5,00,000 + 3,36,000 = 8,36,000$).
- **Step 3 (Drawings):** Subtract Drawings (e.g., $\$8,36,000 - 40,000 = 7,96,000$).
- **Step 4 (Final Balance):** This represents the final "Capital Fund" or "Owner's Equity" for the Balance Sheet.
- **Step 5 (Liabilities):** List items like Creditors and Outstanding Salary.
- **Step 6 (Assets):** List items like Furniture and Debtors (less Provisions).

Formulas & Rules

- **COGS Calculation:** $\text{\$}\{\text{Opening Stock}\} + \text{\$}\{\text{Purchases}\} - \text{\$}\{\text{Closing Stock}\}$
- **Accounting Equation Presentation:** Can be displayed using two columns (Asset vs. Liabilities/Owner's Equity). Items can be entered as positive or negative (or in brackets) to show the direction of the change.

Profit & Loss Calculation Flow:

1. Sales
 2. Minus: Direct Expenses (Opening Stock + Purchase - Closing Stock = COGS)
 3. Result: Gross Profit
 4. Minus: Operating Expenses (Salary, Rent, Depreciation, Provision for Bad Debts)
 5. Result: Net Profit (added to Owner's Equity on Balance Sheet)
- **The "Double Entry" Adjustment Rule:** Any item appearing in an adjustment (e.g., "Outstanding" or "Prepaid") **must** appear twice in the calculation: once in the Profit and Loss statement (as an expense/reduction of profit) and once in the Balance Sheet (as a liability or asset).
 - **Net Worth Formula:** $\text{\$}\{\text{Owner's Equity}\} = \text{\$}\{\text{Assets}\} - \text{\$}\{\text{Liabilities}\}$ (or Owner's Equity + Reserves & Surplus).

Tricky Logic & Traps

- **Trial Balance Errors:** If a practice problem's trial balance doesn't match, it is an error in the question. This will not happen on the exam; the exam focuses on the *mechanics* of the treatment, not the perfection of the provided numbers.
- **Trial Balance & Suspense:** If a trial balance does not balance, you can use a "Suspense Account" to balance the entry.
- **Opening Stock:** It is **not** an asset or a liability. It is a component used specifically for calculating the Cost of Goods Sold (COGS). It is only considered relevant for the specific calculation cycle of the trading account.
- **Closing Stock (Double Counting):** Closing stock is recorded twice: once for the Balance Sheet (where it is treated as an asset) and once for the Trading Account (to specify the cost of goods sold).
- **The "Audit" Trap:** Students often get caught up in "Journal" rules (debits/credits). In the accounting equation, you are only determining if a transaction increases or decreases an asset, liability, or owner's equity.
- **Simplifying for the Examiner:** When recording expenses (like Rent), it is safer to record them as a direct decrease to **Owner's Equity**. This avoids confusion for graders who may not be focused on the nuances of why an expense is being categorized a certain way.
- **The "Purchase Account" Confusion:** Some students worry about whether to use a "Purchase" account or a "Stock" account. On the exam, you are performing an *analysis* of financial statements. Whether the question uses "Stock" or "Purchase" determines if it is being treated as an asset or an expense.
- **Interest on Capital:** In a corporate/limited liability context, "Interest on Capital" is actually a **Dividend**. It is "added" to owner's equity because it is a payment to the owner. If it is not paid, it is an outstanding expense (liability).
- **Depreciation Logic:** It is an operating expense because the asset's value is decreasing due to use over time. The amount of asset "used" is what determines the expense.
- **Plant & Machinery Trap:** Do **not** list "Plant & Machinery" as a "Direct Expense." It is an asset because it provides benefits for more than one accounting period.
- **Drawings Placement:** While standard reporting might separate items, for exam purposes, it is acceptable to show "Drawings" as a deduction from Net Profit to arrive at the final "Capital" figure in the Balance Sheet section.
- **Adjustment "Double Counting" Rule:** Adjustments (like "Outstanding_Salary") are not just "added to the total." They must be correctly identified as being part of both the P&L (to affect profit) and the Balance Sheet (to show what is owed).
- **Naming Conventions:** For exam questions, always include the word "account" after the term (e.g., "Discount received account" or "Discount allowed account").
- **Suspense Account as Safety Net:** If your assets and liabilities do not balance during a calculation, use a "Suspense Account" as a fallback. This ensures you are not penalized for minor discrepancies in the provided numbers.
- **Accounting Equation as Foundation:** If you have mastered the mechanics of the accounting equation, you can complete journal entries, ledgers, and trial balances quickly because they are all derived from the same underlying logic.
- **Format Versatility:** Multiple logically consistent formats are acceptable (e.g., the instructor's, a different instructor's, or a standard textbook's like PC Tulsiana). The student is not penalized for selecting a specific layout as long as the internal logic is sound.

Exam Pointers

- **Focus on Mechanics:** The exam is designed for management, not for those seeking to be auditors. Focus on "what goes where" (Profit & Loss vs. Balance Sheet) rather than technical accounting rules.
- **Notation:** You can use "minus" signs or brackets for negative values to show reductions in assets or equity; both are acceptable as long as the equation balances.
- **Preparation vs. Analysis:** The exam will not test the preparation of journals, ledgers, or trial balances. It will focus on the **analysis** of data to prepare Statements of Profit and Loss and Balance Sheets.
- **Logic over Memorization:** Do not "mug up" (memorize) what is an asset or liability. Use logic: Does it have a future benefit? (Asset). Is it a debt? (Liability). Is it a cost of doing business today? (Expense).

- **Question Weighting:** Expect roughly 3 marks for the Statement of Profit and Loss, 3 marks for the Balance Sheet, and 3-4 marks for application questions (e.g., "Why is depreciation an expense?" or "Does a prepaid expense increase profit?").
- **Theory Scope:** Be prepared for theory questions regarding IFRS, GAAP, and standard accounting principles.
- **Step-Based Assessment:** The exam is not a "all or nothing" calculation; if your logic is correct even if the final figure is slightly off, you will generally not lose all marks for that section.
- **Permitted Tools:** Calculators are allowed; however, Excel is not permitted.
- **I1FR Detail:** Expect to be tested on International Financial Reporting Standards (IFRS) in detail.
- **Acceptable Formats:** Any standard, logically consistent calculation format (including standard textbook formats like PC Tulsiana) is acceptable for the exam.

Sources

- cash flow statement-2026.ppx
- FMA-Class 2 -2026 accting eqn (3).ppx
- FMA-ratios -2026 jan to june (1).ppx
- Accounting equation journal ledger trial balance.xlsx